

Tentative Rulings for Department 501

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Tentative Ruling

Re: **NICBYTE, LLC v. Community West Bank**
Superior Court Case No. 24CECG01486

Hearing Date: July 15, 2026 (Dept. 501)

Motion: (1) Defendant's Motion to Seal
(2) Plaintiffs' Motion to Seal
(3) Defendant's Motion for Summary Judgment, or
alternatively Summary Adjudication

Tentative Ruling:

To grant Defendant's motion to seal non-party bank records, found in Exhibit 433 in its evidence in support of the motion for summary judgment.

To grant Plaintiffs' motion to seal identified portions of the transcripts of the depositions of Michael McCormick and Parren James within Exhibits 400, 401, and 402 within Defendant's evidence in support of the motion for summary judgment. To grant Plaintiffs' motion to seal Exhibits 100 and 102 within Defendant's evidence in support of the motion for summary judgment.

The motion for summary judgment was filed with redactions and sealed exhibits exceeding the scope of the parties' motions to seal and the orders on those motions. The parties are directed to appear to determine how to proceed in light of the need to refile the moving papers to comply with the court's orders on the motions to seal.

Explanation:

"Unless confidentiality is required by law, court records are presumed to be open." (Cal. Rules of Court, Rule 2.550(c).)

"A record must not be filed under seal without a court order. The court must not permit a record to be filed under seal based solely on the agreement or stipulation of the parties." (Cal. Rules of Court, Rule 2.551, subd. (a).)

"A party requesting that a record be filed under seal must file a motion or an application for an order sealing the record. The motion or application must be accompanied by a memorandum and a declaration containing facts sufficient to justify the sealing." (Cal. Rules of Court, Rule 2.551, subd. (b)(1).)

"The party requesting that a record be filed under seal must lodge it with the court under (d) when the motion or application is made, unless good cause exists for not lodging it or the record has previously been lodged under (3)(A)(i). Pending the determination of the motion or application, the lodged record will be conditionally under seal." (Cal. Rules of Court, rule 2.551, subd. (b)(4).)

The court must make certain express findings in order to seal records. Specifically, the court must find that the facts establish:

- (1) There exists an overriding interest that overcomes the right of public access to the record;
- (2) The overriding interest supports sealing the record;
- (3) A substantial probability exists that the overriding interest will be prejudiced if the record is not sealed;
- (4) The proposed sealing is narrowly tailored; and
- (5) No less restrictive means exist to achieve the overriding interest.

(Cal. Rules of Court, Rule 2.550. subd. (d).)

Also, “[a]n order sealing the record must: (A) Specifically state the facts that support the findings; and (B) Direct the sealing of only those documents and pages, or, if reasonably practicable, portions of those documents and pages, that contain the material that needs to be placed under seal. All other portions of each document or page must be included in the public file.” (Cal. Rules of Court, rule 2.550, subd. (e)(1)(A), (B).)

Here, defendant seeks to seal eleven bank statements of non-party BW Industries, Inc. on the basis that they contain private financial data of a non-party. (*Valley Bank of Nevada v. Superior Court* (1975) 15 Cal.3d 652, 657-658.) As the nature of the documents is evident on their face, the court finds there is a sufficient, fact-based showing of the documents containing the non-party private financial information. (Falace Decl. ¶¶ 3-4.) The court is satisfied that the prejudice to the non-party bank customer in making public its bank statements overrides the public interest in the documents. The defendant's motion to seal the bank records found at Exhibit 433 in support of defendant's motion for summary judgment is granted.

Plaintiffs also seek for an order to seal records submitted with defendant's motion for summary judgment. Plaintiffs identify portions of the depositions of Michael McCormick and Parren James, found at Exhibits 400, 401, and 402, that reflect personally identifying information of the trust's third-party affiliates and confidential business information regarding the trust and its administration. Plaintiffs submit that public disclosure of the information would be highly prejudicial to the trust and third parties and put administration of the trust at risk. (Fogarty Decl., ¶¶ 6-7.) Plaintiffs additionally move to seal Exhibits 100 and 102, documents related to the trust's decision to invest with Bitwise, as they are internal recommendations from the investment advisor to the client and provided details regarding NICByte's business strategies, confidential business operations, methods and practices and their public disclosure would be prejudicial to plaintiffs in disclosing sensitive business information and financial information. (*Id.*, ¶¶ 8-9.) Plaintiffs have provided evidence of the measures to keep the records confidential in the regular course of business to maintain the privacy of the information therein. Plaintiffs further assert that they and non-parties in connection with the trust will be prejudiced by making the information public. Having reviewed the identified portions of the deposition transcripts and investment recommendation documents the court is satisfied that the prejudice to plaintiffs and the non-parties overrides the public interest in the testimony

and documents. The plaintiffs' motion to seal portions of Exhibits 400, 401, and 402, and to seal Exhibits 100 and 102 in their entirety is granted.

Plaintiffs have filed two motions to seal in connection with the motion for summary judgment. The first was filed May 4, 2026 and was calendared with the court for hearing on July 15, 2026. The second was filed on June 25, 2026 and the notice indicates a hearing date of July 15, 2026. This second motion was not calendared with the court for hearing on July 15, 2026 and will not be heard.

Defendant's evidence in support of its motion for summary judgment, also to be heard on July 15, 2025, was filed with the entirety of Exhibits 400, 401, 402, 103-107, 117 and 122 lodged conditionally under seal. The moving papers and declarations were filed with redactions presumably reflecting references to documents subject to the motions to seal. However, having granting both motions in their entirety leaves the moving papers with entire exhibits and portions of the moving papers outside the public file and not in conformity with the court's order on the motions to seal.

To the extent the scope of the redactions and lodged documents exceeds the parties' motions for orders sealing certain testimony and documents the court denies the implicit motion to seal these exhibits.

California Rules of Court, rule 2.551(b)(6) provides:

If the court denies the motion or application to seal, the moving party may notify the court that the lodged record is to be filed unsealed. This notification must be received within 10 days of the order denying the motion or application to seal, unless otherwise ordered by the court. On receipt of this notification, the clerk must unseal and file the record. If the moving party does not notify the court within 10 days of the order, the clerk must (1) return the lodged record to the moving party if it is in paper form or (2) permanently delete the lodged record if it is in electronic form.

Thus, the parties have 10 days to notify the court to file the documents unsealed. However, there are portions of the documents filed conditionally under seal that can remain under seal and many others that cannot. The underlying motion for summary judgment is calendared to be heard concurrent with the motions to seal rather than after the motion to seal to allow the papers to be filed to comply with the court's order on the motions to seal. The parties have created a problem for the court in how to proceed with the motion for summary judgement.

The parties are directed to appear for hearing to determine how to proceed with the motion for summary judgment in light of the need to re-file the moving papers for the motion for summary judgment to comply with the court's ruling on the motions to seal.

Pursuant to California Rules of Court, rule 3.1312(a), and Code of Civil Procedure section 1019.5, subdivision (a), no further written order is necessary. The minute order

